

You don't want to pay stupid prices.

Let's say you pay 50 times earnings for a company that generated \$1 in earnings last year. Think what you need to happen to make it a 100-bagger. You need earnings to go up a hundredfold and you need the price-earnings ratio to stay where it is at 50. If the price-earnings ratio falls to 25, then you need earnings to rise 200-fold.

Don't make investing so hard.

We saw earlier in our case study of Gillette how a price-earning ratio collapse from 20 to 10 blunted the return investors got from Gillette's earnings growth.

But on the other hand, you shouldn't go dumpster diving if you want to turn up 100-baggers. Great stocks have a ready fan club, and many will spend most of their time near their 52-week highs, as you'd expect. It is rare to get a truly great business at dirt-cheap prices. If you spend your time trolling stocks with price-earnings ratios of five or trading at deep discounts to book value or the like, you're hunting in the wrong fields — at least as far as 100-baggers go. You may get lucky there, of course, but the targets are richer in less austere settings.

I say lower multiples "preferred" because you can't draw hard rules about any of this stuff. There are times when even 50 times earnings is a bargain. You have to balance the price you pay against other factors.

Remember, time is the friend of the great business. And you can pay more for a great business. Let me give you another example: Interactive Brokers (IBKR), the online broker.

Matt Goodman (the analyst who did the case study on Monster Beverage) did an analysis of IBKR, a stock we recommended in our newsletter.

He showed how it has been applying new technology to an age-old business. Its platform is more capable than competitors and it is easily the least-cost option.

You can see this anecdotally in industry news, as Goodman points out:

- According to legendary trader Peter Brandt, talking about Interactive Brokers, "On one trading platform and with one account I can trade the world — from US to global futures markets, US and global stock exchanges, options, forex, you